

Dilip Singh Rajpurohit, 34

Name of unit: **Chateshwar Gem Stones**

Business: **Gem stones**

Profit: **Almost nil**

Family: **Five**

How many were sacked in the unit: 9 out of 10

In 1993, Dilip Singh Rajpurohit, then a 19-year-old matriculate from a family of farmers, left his village in Ajmer district to look for employment in Jaipur, 125 km away. There he learnt to cut and polish gem stones and soon began earning Rs 2,500 a month. Four years later, he left his job to set up his own unit. Soon, he expanded his business and em-

PURUSHOTTAM DWIVAKAR



"I thought things will improve by Diwali. But it did not happen and the crisis worsened."

ployed 10 youths. Last year, his revenue was Rs 1 lakh a month which saved him Rs 20,000 a month. But from January onwards, he could sense a decline in orders. This forced him to shift to a smaller room in May. The festival season saw him earn just Rs 3,000 against his total orders of Rs 15,000. He says the bigger fish are at work, investing money at cheaper rates to pile up stocks. **by Rohit Parihar**

—were hit. And even as they appealed to the Government, the global meltdown hit them. First, it destroyed the valuation-based business model where they could have raised funds in return for equity paper. Second, debt is not only hard to harness but also very expensive. So companies are now trapped in expansion mode even as they struggle to sell output from existing capacities. With lower incomes, not only is expansion on hold but the focus is on cutting costs through retrenchment. As Laveesh Bhandari of Indicus Analytics, who analysed the job survey, puts it: "New hiring is highly sensitive to investment. As investment growth takes a steep downturn, so will organised sector employment growth." And for every organised sector job lost, three to four jobs will be lost in the unorganised sector as vendors/suppliers who are largely from the small- and medium-scale sectors are impacted

IT and Software

Hit badly by the global meltdown, thanks to dependence on the US and EU for 60 per cent of the business. Worse, over two-thirds of its billings are dependent on the health of banking and financial sectors. With the export target of \$60 billion eluding them, expect more layoffs.

“ The IT-BPO sector will be hit. Nasscom's target of \$60 billion by FY10 seems difficult. ”

SOM MITTAL, President, Nasscom



HEMANT CHAWLA